

afraid that price would take me out. It worked this time, but it's not a habit you want to form.

On 29 April, I was stopped out of the stock and took a 6% loss. The timing of the sale is odd, though. I sold when the stock was about midway down the height of the broadening pattern. My assessment of the trade says that I sold too early.

Indeed, the stock continued lower. Two days later, the stock busted the upward breakout when it closed below the bottom of the pattern. But that was as far as it dropped. The stock climbed from there, busted the downward breakout, and soared like I thought it would originally. The stock peaked at 63.71 in May 2008, a massive 133% above my sale price. You probably heard me yelling at the time about missing another big gain.

I picked the right stock, at the right time, but watched from the sidelines as it became an eagle and soared. However, I think I traded this correctly. I bought the day after the breakout, so I got in quick at a good price and sold when it was clear the stock was dropping. Waiting for it to turn at the bottom of the pattern, in this case, was *not* a mistake because it *did* break out downward. The stock just decided to turn back up from then on.

- Lesson: If a stock doesn't perform as expected, get out.
- Lesson: Don't lower or remove a stop unless you have a good reason for doing so. Being afraid price might trigger the stop is exactly the wrong reason for removing it.

Southwest Airlines

Southwest Airlines (LUV) in mid-2004 showed a similar situation. I identified a broadening pattern in the spring and bought after the throwback completed. In other words, I was late buying into the stock. Had I placed a buy stop a penny above the top horizontal line, it would have filled at 15.31 the day before the actual breakout. Instead, I bought in at 15.81, but that isn't too far off the optimal entry price.

From my trading notebook: "Mood (Will trade work? Bought too soon?): Cautious. Other airlines are moving lower, so I don't really trust this one. Long term, I think the price is a good one. Short term, who knows?"